Amendment No. 1 to SB0703

Massey

Signature of Sponsor

AMEND Senate Bill No. 703* House Bill No. 736

by deleting all language after the caption and substituting:

WHEREAS, transportation is a priority to the State of Tennessee, and depleting revenue is a vital problem; and

WHEREAS, due to new vehicles becoming more energy efficient, it is taking less gas to drive the same distance, and therefore, less gasoline tax is being collected; and

WHEREAS, the cost of building and maintaining roads is ever increasing; and

WHEREAS, the State's population is rising and visitors to the State are putting more people on the road, causing greater wear and tear and affecting resurfacing needs on the State's roads and bridges; and

WHEREAS, it is imperative that alternative sources of funding be established to supplement the decreases in transportation infrastructure funding due to vehicles becoming more fuel efficient or using no fuel and due to inflation-related increases in road construction and maintenance costs; now, therefore,

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1.

(a) The Tennessee advisory commission on intergovernmental relations (TACIR) shall conduct a study and prepare a report on recommendations for establishing sustainable funding sources that meet this state's future, long-term transportation infrastructure needs.

(b) The study and report must:

(1) Identify the critical, long-term highway and bridge infrastructure needs of this state, the annual highway and bridge infrastructure funding gap, and the amount needed to fund the maintenance, repair, and modernization of existing highways and bridges across the state;

(2) Identify the recurring expenditures associated with the state highway fund, including, but not limited to, salary increases for employees of the department of transportation;

(3) Include a comprehensive review and analysis of appreciated sources of revenue that have the potential to grow over time and that will meet the critical, long-term highway and bridge infrastructure needs of this state, including, but not limited to, the following revenue sources:

(A) Road usage fees;

(B) Rental car fees;

(C) Transportation network company fees;

(D) Retail delivery fees;

(E) Commercial vehicle road usage charges;

(F) Highway impact fees for heavy trucks;

(G) Dedicated state funds consisting of revenues from the collection of state sales tax from the sale of new or used vehicles and new or used tires in this state; and

(H) Other options that are based on variables, including, but not limited to, vehicle weight, or that account for variations in road usage and degree of damage caused to transportation infrastructure by vehicles of different sizes and configurations;

(4) Estimate the amount of revenue generated in this state from the sources of income identified pursuant to subdivision (b)(3);

(5) Assemble information concerning the stakeholders affected by the appreciated sources of revenue identified in subdivision (b)(3), including, but not limited to, the trucking industry, automobile dealers, and rental car, delivery, and transportation network companies; and

(6) Survey appreciated sources of revenue successfully used by at least three (3) other states to address their challenges in establishing sustainable transportation infrastructure funding.

(c) All appropriate state departments and agencies shall provide assistance to TACIR in connection with the study required by subsection (a).

(d) On or before September 30, 2026, TACIR shall report its findings and recommendations, including any proposed legislation, to the chair of the committee of the house of representatives having jurisdiction over transportation matters, the chair of the transportation and safety committee of the senate, and the legislative librarian.

(e) It is the legislative intent that this study must be conducted from TACIR's existing resources.

SECTION 2. This act takes effect upon becoming a law, the public welfare requiring it.